

Day Trading Masterclass

Complete Glossary - Beginner to Advanced

This glossary contains all the key terms and concepts covered in the Day Trading Masterclass, organized exactly as they appear in the course modules. Use this as your reference companion throughout your learning journey. Each term includes a simple, beginner-friendly explanation to help you master day trading vocabulary.

 *Tip: Bookmark this document and refer back to it as you progress through each module. Review terms before and after watching lessons to reinforce your learning.*

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Section 1: Introduction

Welcome to the course! This section introduces you to the course structure and sets expectations. No technical terms yet – just getting oriented.

No glossary terms for this introductory section.

Section 2 - Module 1: Introduction to Day Trading

 Lessons: What is Day Trading | Pitfalls and Opportunities | Markets (Stocks, Futures, FX) | Understanding Timeframes | Choosing Your Platform

Day Trading: The practice of buying and selling financial instruments within the same trading day. All positions are closed before the market closes to avoid overnight risk. Day traders aim to profit from small price movements throughout the day.

Intraday: Refers to price movements and trading activity that occurs within a single trading day. Intraday charts show what happens between market open and close.

Stocks: Shares of ownership in a company that can be bought and sold on stock exchanges. Day traders focus on liquid stocks with sufficient volume and volatility.

Futures: Contracts to buy or sell an asset at a predetermined price on a future date. Popular futures for day trading include ES (S&P 500), NQ (Nasdaq), CL (Crude Oil), and GC (Gold).

ES (E-mini S&P 500): The most popular futures contract for day trading, representing the S&P 500 index. Each point move equals \$50. Highly liquid and trades nearly 24 hours.

NQ (E-mini Nasdaq): Futures contract representing the Nasdaq 100 index. Each point move equals \$20. More volatile than ES, popular with traders seeking larger price movements.

FX (Foreign Exchange/Forex): The market for trading currencies. Operates 24 hours a day, 5 days a week. Major pairs include EUR/USD, GBP/USD, and USD/JPY.

Timeframe: The length of time each bar or candle represents on a chart. Common day trading timeframes include 1-minute, 5-minute, 15-minute charts. Shorter timeframes show more detail but can be noisier.

Tick Chart: A type of chart that creates a new bar or candle after a specific number of trades (ticks) occur, rather than based on time. For example, a 500-tick chart creates a new bar every 500 trades. Useful for seeing activity during fast or slow markets.

Liquidity: How easily you can buy or sell an asset without significantly affecting its price. High liquidity means many buyers and sellers are available, allowing for quick entry and exit at fair prices.

Volatility: The degree of price movement in a security. High volatility means larger price swings, which creates more trading opportunities but also more risk. Low volatility means smaller, steadier price movements.

Spread: The difference between the bid price (what buyers will pay) and the ask price (what sellers want). A tight spread (small difference) indicates good liquidity and lower trading costs.

Platform: The software you use to view charts, execute trades, and manage positions. Popular day trading platforms include Thinkorswim, NinjaTrader, Sierra Chart, and Interactive Brokers.

Section 3 - Module 2: Market Structure and Price Action

 Lessons: Support/Resistance | Trendlines | Breakouts & Gaps | Balance vs Imbalance | Auction Market Theory

Support: A price level where buying pressure is strong enough to prevent the price from falling further. Think of it as a floor where the price tends to bounce. Traders look to buy near support levels.

Resistance: A price level where selling pressure is strong enough to prevent the price from rising further. Think of it as a ceiling where the price tends to stop or reverse. Traders look to sell near resistance.

Trendline: A straight line drawn on a chart connecting two or more price points to identify the direction and strength of a trend. Upward trendlines connect higher lows; downward trendlines connect lower highs.

Breakout: When price moves above a resistance level or below a support level with strong momentum. Breakouts can signal the start of a new trend and create trading opportunities.

Gap: A price range where no trading occurred. Gaps appear on charts as empty spaces between candles, often occurring at market open when the opening price is significantly different from the previous close.

Balance: A market condition where buying and selling pressure are roughly equal, resulting in sideways or range-bound price movement. Prices oscillate between support and resistance.

Imbalance: A market condition where one side (buyers or sellers) has clear control, creating directional price movement. Strong trends show sustained imbalance.

Auction Market Theory: A framework for understanding markets as continuous auctions seeking fair value. Markets move from balance to imbalance as they search for prices where buyers and sellers agree.

Trend: The general direction of price movement over time. Uptrend: series of higher highs and higher lows. Downtrend: series of lower highs and lower lows. Sideways: no clear direction.

Consolidation: A period where price moves sideways in a relatively tight range. Often occurs before a significant move as the market builds energy.

Momentum: The rate of price change. Strong momentum means price is moving quickly in one direction. Weak momentum suggests the move is losing steam.

Range: A price zone bounded by support below and resistance above where price oscillates. Range traders sell resistance and buy support.

Section 4 - Module 3: Indicators and Intraday Signals

 Lessons: Moving Averages, VWAP, Standard Deviations, ATR, OBV | Volume Confirmation | Pivot Points | Implied Volatility | Economic Calendars | COT Report | News Squawk | Stock Scanning

Moving Average: A constantly updated average price over a specific time period. Smooths out price data to help identify trends. Common periods are 9, 20, 50, and 200.

VWAP (Volume Weighted Average Price): The average price weighted by volume throughout the trading day. Resets each day at market open. Institutional traders often use VWAP as a benchmark. Price above VWAP suggests bullish sentiment; below suggests bearish.

Standard Deviation (SD): A statistical measure of how much prices deviate from their average. In trading, often shown as bands around VWAP. One standard deviation contains about 68% of price action; two standard deviations contain about 95%.

ATR (Average True Range): Measures market volatility by calculating the average range between high and low prices over a set period. Higher ATR means more volatility. Used for setting appropriate stop losses and position sizing.

OBV (On-Balance Volume): A cumulative indicator that adds volume on up days and subtracts volume on down days. Shows whether volume is flowing into or out of a security. Divergences between OBV and price can signal reversals.

Volume: The total number of shares or contracts traded during a specific period. High volume confirms price movements; low volume suggests weak conviction.

Trap Move: A false breakout or breakdown that quickly reverses, trapping traders who entered in the wrong direction. Often occurs when volume doesn't confirm the price move.

Pivot Points: Price levels calculated using the previous day's high, low, and close. Include a central pivot and support/resistance levels above and below. Day traders use these as potential turning points.

Implied Volatility (IV): The market's forecast of likely price movement, derived from options prices. High IV suggests the market expects big moves; low IV suggests calmer conditions. Affects options pricing and strategy selection.

Economic Calendar: A schedule of upcoming economic data releases and events that can impact markets. Includes reports like Non-Farm Payrolls (NFP), GDP, inflation data, and Federal Reserve announcements.

COT Report (Commitments of Traders): A weekly report showing positioning of different trader categories in futures markets. Helps identify when commercial hedgers vs. speculators are positioned, potentially signaling market sentiment.

News Squawk: A real-time audio news service that alerts traders to breaking economic data, Fed speakers, geopolitical events, and other market-moving news as it happens.

Scanner: A tool that filters through hundreds or thousands of securities to find those meeting specific criteria (volume, price change, pattern, etc.). Essential for finding intraday opportunities in stocks.

Section 5 - Module 4: Volume Profile & Delta Tools for Futures

 Lessons: Volume Profile Basics (VAH, VAL, POC) | TPO Profile Shapes | Cumulative Delta | Depth of Market | Futures Chart Setup | ES & NQ Setup | 15-Minute Anchor

Volume Profile: A charting tool that displays how much volume traded at each price level over a specified time. Shows where traders found value and where they didn't, revealing support and resistance zones.

POC (Point of Control): The price level with the highest traded volume in a Volume Profile. Represents the fairest price where most trading activity occurred. Often acts as a magnet for price.

VAH (Value Area High): The upper boundary of the Value Area in Volume Profile. The Value Area contains approximately 70% of the trading volume and represents where the market found fair value.

VAL (Value Area Low): The lower boundary of the Value Area in Volume Profile. Price below VAL suggests traders perceive the asset as potentially undervalued.

Value Area: The price range containing approximately 70% of the trading volume for a given time period. Represents where the market found fair value and where most participants agreed to trade.

TPO (Time Price Opportunity): A type of Market Profile that shows how much time price spent at each level. Longer TPO prints indicate areas of balance and acceptance; single TPO prints suggest quick movement through price levels.

Market Profile: A charting technique that organizes price data by time and volume to reveal market structure. Shows where the market spent time (acceptance) vs. where it moved quickly (rejection).

Initial Balance: The price range established during the first hour of trading (usually first two 30-minute periods). Often sets the tone for the day. Breakouts beyond Initial Balance can signal strong directional moves.

Cumulative Delta: The running total of the difference between buying volume and selling volume. Positive cumulative delta means more aggressive buying; negative means more aggressive selling. Used to confirm price moves.

Delta: The difference between buying volume and selling volume at each price level or time period. Positive delta means more aggressive buying; negative delta means more aggressive selling.

Delta Divergence: When price makes a new high or low, but cumulative delta doesn't confirm the move. For example, price makes a new high but delta is lower. Suggests weakening momentum and potential reversal.

Depth of Market (DOM): Also called Level 2 or Order Book. Shows pending buy and sell orders at different price levels. Reveals where large orders are waiting and can indicate supply/demand imbalances.

Order Book: Another term for Depth of Market. Displays all pending buy and sell orders at various price levels, showing real-time supply and demand.

Bid: The highest price a buyer is willing to pay for a security. In the order book, you'll see multiple bid levels with various sizes.

Ask: The lowest price a seller is willing to accept for a security. The difference between bid and ask is called the spread.

15-Minute Anchor: Using the 15-minute timeframe to establish the broader context and trend direction while executing trades on shorter timeframes like 1-minute or 5-minute charts.

Contract: In futures trading, the standardized agreement to buy or sell a specific quantity of an asset. Each contract has specific size, tick value, and margin requirements.

Section 6 - Module 5: Day Trading Strategies

 Lessons: Hypothesis Development | Opening Range Breakout | High Tight Flag | Symmetrical Triangle | Seasonality | FX Concepts | Candlestick Patterns | News Events

Trading Hypothesis: Your pre-trade plan and reasoning for why a trade might work. Based on analysis of market conditions, technical setups, news events, and other factors. Every trade should start with a clear hypothesis.

Opening Range Breakout: A strategy that identifies the high and low of the first 15-30 minutes of trading, then trades breakouts above or below this range. Based on the idea that early range breaks often continue.

Opening Range: The high and low established during the first period of trading, typically the first 15-30 minutes. Many strategies are based on breaks of this initial range.

High Tight Flag: A bullish continuation pattern where a stock makes a strong upward move (the pole), then consolidates in a tight, downward-sloping channel (the flag) before breaking out higher.

Symmetrical Triangle: A chart pattern formed by converging trendlines with lower highs and higher lows. Shows decreasing volatility and indicates a breakout is likely in either direction.

Seasonality: Recurring patterns and tendencies in markets based on time of year, month, week, or even time of day. For example, the "Santa Claus rally" or end-of-month flows.

Currency Pair: In forex trading, the quotation of two different currencies. The first currency is the base; the second is the quote. EUR/USD means how many US dollars buy one Euro.

Majors: The most traded currency pairs in forex, all involving the US Dollar. Includes EUR/USD, USD/JPY, GBP/USD, and USD/CHF. These pairs have the highest liquidity and tightest spreads.

Candlestick: A charting method that shows four key price points: open, high, low, and close. The body shows the range between open and close; wicks show the high and low. Colors indicate whether price went up (often green/white) or down (often red/black).

Hammer: A bullish reversal candlestick with a small body at the top and a long lower wick (at least twice the body length). Shows buyers rejected lower prices. Most effective at support levels.

Shooting Star: A bearish reversal candlestick with a small body at the bottom and a long upper wick. Shows sellers rejected higher prices. Most effective at resistance levels.

Engulfing Pattern: A two-candle reversal pattern. Bullish engulfing: a larger green candle completely engulfs the previous red candle. Bearish engulfing: a larger red candle engulfs the previous green candle.

Doji: A candlestick with a very small body, showing open and close prices are nearly equal. Indicates indecision and potential reversal, especially after a strong trend.

Pin Bar: A candlestick with a small body and a long wick on one side. Bullish pin bars have long lower wicks; bearish pin bars have long upper wicks. Shows rejection of a price level.

News Event: Scheduled or unscheduled announcements that can cause significant market volatility. Includes economic data releases, central bank decisions, and geopolitical events.

Reaction Strategy: A trading approach that waits for the initial reaction to news or an event, then trades the follow-through or reversal. Avoids the dangerous initial whipsaw.

Section 7 - Module 6: Risk Management for Day Traders

 Lessons: Trade Expectancy & Risk/Reward | Position Sizing by Volatility | ATR for Stop Size | Stop Placement & R-Multiples | FX Position Sizing | ES Stops/Targets | Daily Loss Limits | Avoiding Overtrading & Revenge Trading

Trade Expectancy: The average amount you can expect to win or lose per trade over time. Calculated using your win rate, average win size, and average loss size. Positive expectancy is essential for long-term profitability.

Risk/Reward Ratio: The comparison of potential profit to potential loss on a trade. A 2:1 ratio means you're risking \$100 to potentially make \$200. Good traders typically look for ratios of 2:1 or better.

Position Sizing: Calculating how many shares or contracts to trade based on your account size, risk tolerance, and the distance to your stop loss. Larger stops require smaller positions to maintain consistent risk.

Stop Loss: A predetermined price level where you'll exit a losing trade to limit your loss. Essential for protecting capital. Should be placed based on technical levels and volatility, not arbitrary percentages.

R-Multiple: A way to measure trade results in terms of your initial risk (R). If you risk \$100 (1R) and make \$200, that's a 2R win. If you lose \$100, that's a -1R loss. Helps normalize results across different position sizes.

Initial Risk (1R): The amount of money you're risking on a single trade from entry to stop loss. All trade results are measured as multiples of this amount.

Target: Your predetermined profit objective where you plan to exit a winning trade. Should be based on technical levels, not arbitrary percentages.

Daily Loss Limit: A maximum dollar amount you're willing to lose in a single trading day. Once hit, you stop trading for the day. Prevents emotional revenge trading and protects capital during tough days.

Drawdown: The decline from a peak in your trading account to a subsequent low. For example, going from \$10,000 to \$8,000 is a 20% drawdown. Managing drawdowns is crucial for long-term survival.

Maximum Drawdown: The largest peak-to-trough decline in your account's equity. Understanding your maximum drawdown tolerance helps you set appropriate risk limits.

Overtrading: Taking too many trades, often with insufficient edge or out of boredom and emotional need for action. Leads to death by a thousand cuts through commissions and poor setups.

Revenge Trading: Taking impulsive trades to "get back" losses from earlier in the session. Usually driven by emotion rather than strategy, leading to even bigger losses.

Win Rate: The percentage of trades that are profitable. A 60% win rate means 6 out of 10 trades are winners. Important component of trade expectancy, but not the only factor.

Risk Per Trade: The percentage or dollar amount of your account you're willing to risk on a single trade. Most professionals risk 0.5-2% per trade.

Section 8 - Module 7: Execution, Platform & Journaling

 Lessons: Trade Execution Basics | Entry Types | Choosing Your Platform | Journaling Intraday Trades | TradingView Replay Practice

Trade Execution: The process of entering and exiting trades. Includes order types, timing, and mechanics of getting filled.

Market Order: An order to buy or sell immediately at the best available current price. Guarantees execution but not price. Use when getting in/out quickly is more important than price.

Limit Order: An order to buy or sell at a specific price or better. Buy limits go below current price; sell limits go above. Guarantees price but not execution.

Stop Market Order: An order that becomes a market order once a specified price (the stop price) is reached. Commonly used for stop losses. May experience slippage in fast markets.

Stop Limit Order: An order that becomes a limit order once the stop price is reached. Provides more control than stop market but risks not getting filled if price moves too quickly.

Entry: The point at which you open a position. Can be a specific price level or condition being met.

Exit: The point at which you close a position, either for profit or loss. Includes both targets and stop losses.

Slippage: The difference between the expected price of a trade and the actual executed price. More common with market orders in fast-moving or low-liquidity situations.

Fill: When your order is executed. A "full fill" means your entire order was executed; a "partial fill" means only part of your order was filled.

Scaling In: Building a position gradually by adding to it as price moves in your favor or at predetermined levels. Allows you to average your entry price.

Scaling Out: Closing a position gradually by taking partial profits at different price levels. Allows you to capture some gains while leaving room for bigger moves.

Trading Journal: A detailed record of all your trades including entry/exit, reasoning, emotions, setup type, and outcome. Essential for identifying patterns in your behavior and improving performance.

TradingView: Popular charting platform with comprehensive tools for technical analysis. Offers replay feature for practice trading historical price data.

Replay Mode: Feature allowing you to practice trading using historical data as if it were happening in real-time. Excellent for testing strategies and building experience without risking money.

Broker: A company or individual that executes your trades. For day trading, you need a broker with low commissions, fast execution, and appropriate margin.

Margin: Borrowed money from your broker that allows you to trade larger positions than your cash balance. Day trading margin is typically 4:1 for stocks (can control \$100,000 with \$25,000).

PDT Rule (Pattern Day Trader): US regulation requiring at least \$25,000 in account equity if you make 4 or more day trades within 5 business days in a margin account.

Hotkeys: Keyboard shortcuts for quickly executing common trading actions (buy, sell, flatten, cancel orders). Essential for fast execution in day trading.

Section 9 - Module 8: Case Studies & Chart Walkthrough

 Lessons: VWAP/SD/POC Reversal Using Delta | News Event Trades in ES | Seasonal Setups | Big Trading Events | News Examples | Reading Fed Dot Plot | Reading NFP

VWAP Reversal: A trading setup where price reaches an extreme distance from VWAP (often 2-3 standard deviations) and reverses back toward the mean. High probability trade based on statistical tendency to revert.

Mean Reversion: The tendency for prices to return to their average over time. Trading strategy based on the idea that extreme moves away from average are likely to snap back.

NFP (Non-Farm Payrolls): Monthly US employment report released first Friday of each month. Shows jobs added/lost outside farming. One of the most impactful economic reports for markets.

FOMC (Federal Open Market Committee): The Fed's policy-making body that sets interest rates. FOMC meetings occur 8 times per year and can cause significant market volatility.

Fed Dot Plot: A chart showing where each FOMC member expects interest rates to be in the future. Released quarterly. Reveals Fed's collective thinking on rate path.

CPI (Consumer Price Index): Measures inflation by tracking changes in prices consumers pay for goods and services. Released monthly. Higher than expected CPI typically strengthens the dollar.

GDP (Gross Domestic Product): Measures the total value of all goods and services produced in an economy. Released quarterly. Shows economic growth or contraction.

Retail Sales: Monthly report measuring consumer spending at retail stores. Important because consumer spending drives about 70% of US economic activity.

PMI (Purchasing Managers Index): Survey-based indicator measuring business activity in manufacturing and services sectors. Above 50 indicates expansion; below 50 indicates contraction.

Risk On/Risk Off: Market sentiment indicator. "Risk On" means investors are confident and buying riskier assets like stocks. "Risk Off" means fear is dominating and investors seek safe havens like bonds and gold.

Dollar Strength: The relative value of the US dollar compared to other currencies. Strong dollar typically hurts commodities and emerging markets; weak dollar helps them.

Seasonal Pattern: Historically recurring price behavior during specific times of year. For example, the dollar tends to strengthen at year-end due to repatriation flows.

Event Risk: The potential for significant price movement due to scheduled or unscheduled news events. Includes FOMC decisions, earnings reports, geopolitical developments.

Volatility Expansion: When market volatility suddenly increases, usually triggered by news events or technical breakouts. Creates trading opportunities but also increases risk.

Section 10 - Module 9: Trader Development & Next Steps

 Lessons: Building Daily Routine | Developing Your Playbook | 90-90-90 Rule | Funding Firms | Recommended Resources | Continuing Education

Daily Routine: Your pre-market preparation and trading process. Includes reviewing overnight news, checking economic calendar, identifying key levels, and planning potential trades.

Pre-Market Analysis: The research and preparation done before market open. Includes checking overnight futures, key news, economic releases, and technical levels.

Playbook: A personalized collection of trading setups and strategies that have worked for you, documented with entry rules, stop placement, target expectations, and ideal market conditions.

Trading Setup: A specific combination of technical conditions, price patterns, and market context that creates a trading opportunity. Each setup in your playbook should have clearly defined rules.

90-90-90 Rule: A sobering statistic in trading: 90% of traders lose 90% of their money in the first 90 days. This highlights the importance of proper education, risk management, and realistic expectations.

Funding Firms: Companies that provide trading capital to traders in exchange for a share of profits. Popular with traders who lack capital but have proven skills. Examples include Topstep, Earn2Trade.

Prop Trading: Trading with a firm's capital rather than your own. Proprietary trading firms provide capital, technology, and training in exchange for a split of profits.

Evaluation Period: The testing phase required by funding firms where you must demonstrate consistent profitability and risk management before receiving live capital.

Consistency: Maintaining the same approach, process, and risk management across all trades. Focus on process consistency rather than outcome consistency.

Edge: Any advantage that gives you a positive expected value over time. Can come from better information, superior analysis, faster execution, or psychological discipline.

Discipline: The ability to follow your trading plan and rules consistently, even when emotions tempt you to deviate. Often the difference between winning and losing traders.

Screen Time: The hours spent actively watching charts and markets. More screen time (with proper focus) helps develop pattern recognition and market feel.

Market Feel: Intuitive understanding of market behavior developed through extensive screen time and experience. Helps you read context and flow beyond mechanical indicators.

Continuous Improvement: The ongoing process of learning, adapting, and refining your trading approach. Successful traders never stop studying and improving.

Risk Sentiment: The overall appetite for risk in the market. Gauged through price action in stocks, bonds, currencies, and commodities. Understanding sentiment helps position trades appropriately.

Correlation: How different markets move in relation to each other. Understanding correlations (stocks vs bonds, dollar vs gold, etc.) provides context for trades.

